Responsible Administrator: VP Admin/Finance
Responsible Office: Controller's Office
Effective Date: 3/1/2008
Approved by: President
Date of Revision: 8/13/2024

Accounts Receivable Policy

Policy Statement

The purpose of this policy is to ensure the timely management and collection of University funds along with compliance to state regulations.

Purpose of Policy

The Southeastern Louisiana University Controller's Office is responsible for the timely management and collection of accounts receivable for the university. This policy outlines the guidelines to administer the collection of accounts. It is the goal of the University to retain students at the university as long as financial responsibilities are met. Southeastern has adopted the General policy as codified in the Louisiana Register, Volume 28, Number 11, dated November 20, 2002, for billing, collecting, and write-offs of Accounts Receivable. Southeastern also complies with Policy Number FB-IV.(3) of the University of Louisiana System, all applicable statutory regulations, Constitutional provisions and restrictions, generally accepted accounting principles, NACUBO pronouncements, and relevant Board rules and policies. All revenues and expenditures are recorded in accordance with fund accounting principles prescribed by NACUBO and GASB 34.

Applicability

This policy applies to all University students, staff, employees, and any party that has established a third-party billing relationship with the University.

Policy Procedure

STUDENT ACCOUNTS RECEIVABLE

Student accounts receivable are the majority of the receivables on the financial statement. These balances consist of tuition and fees, financial aid charge-backs, housing, meals, and miscellaneous charges and fines (i.e. parking fines, textbook rental fines, library fines, etc.) that are incurred during the semester. The customer account includes any unpaid balance including balances that are expected to be paid by a third party, or any other type of federal, state, or private financial aid. In addition, balances due for deferment programs (Southeastern Payment Plan, Ricks and Tinsley Emergency Loans) are also reflected in the account balance. Other students who do not have the means to afford satisfactory payment using these above-mentioned methods (humanitarian/hardship circumstances) are handled on a case-by-case basis at the Controller's Office.

ACCOUNTS RECEIVABLE MANAGEMENT

It is the responsibility of the Controller's Office staff to administer the policies and procedures as set forth by management. It is the responsibility of the Assistant Controller in Accounts Receivable and the Controller to ensure that departmental goals are achieved. The Accounts Receivable section of the Controller's Office strives to provide

accurate and timely billing for amounts owed to the university. These receivables are tracked through the University's ERP system. Billing statements and notifications are generated by the university on a regular basis and mailed or emailed to customers. The Accounts Receivable section will collect and keep complete and accurate information on each debtor in the event of default.

Several communications are utilized to make the student aware of outstanding debts owed to the university. Fee statements are used to invoice students for term charges for a particular semester. A fee statement is sent to all enrolled students prior to the beginning of each semester. Another fee statement is produced after classes begin for those students who may still owe a balance due to enrollment changes. Students can create a fee statement on demand through the University's ERP system. A quarterly statement is mailed or emailed to all students with outstanding balances (enrolled and non-enrolled). Given the seasonal nature of the university's registration activity, this billing is performed at least once every quarter. In addition, notices are mailed or emailed to students that may have incurred charges or fines during the semester. Some of these types of charges may include traffic violations, library fines, and financial aid charge-backs. These charges are also included on the Accounts Receivable quarterly statement.

Southeastern students are afforded many opportunities to pay their balance due to the university. They can pay using cash, check, or money order during normal business hours in the Controller's Office. A check payment can also be mailed to the Controller's Office. Students may also pay online with a credit card or electronic check through their student account. Students also have the availability of several deferment plans administered by Southeastern. These plans are as follows:

Southeastern Payment Plan

The Southeastern Payment Plan (SPP) extends credit to a student allowing them to make equal installments for tuition and fees over the course of the semester. This plan is available to students who are not currently in default on the plan. The first payment plus a processing fee is due prior to fee payment deadline. The remaining installments are due over the course of the semester. A late charge is placed on the student's account for failure to make any agreed upon payment. An indicator is placed on the student's account denying the student further participation in the SPP until the student's SPP is paid as agreed. The account may be turned over to an outside collection agency, which could include the Attorney General's Office, if full payment (or a payment arrangement) is not received after due diligence and a final notification. The student is responsible for any and all fees assessed for collection once placed with an outside agency.

Ricks and Tinsley Emergency Loan Programs

The Emergency Loan program is a deferment program that allows a student to defer the payment of tuition for sixty days in the Spring and Fall (30 days in the Summer) from the first day of class. A processing fee is due at the time the contract is approved. The evaluation criterion for this program is a 2.0 GPA. If the loan is not paid on the due date (60 days from the first day of class in the Spring/Fall, 30 days in the Summer), a late charge is placed on the student's account. Interest begins to accumulate at an annual rate of 8% beginning on the due date. The account may be turned over to an outside collection agency, which could include the Attorney General's office, if full payment (or a payment arrangement) is not received after due diligence and a final notification. The Office of Financial Aid is responsible for criteria evaluation and the appropriate adjustments are made to the student account by the Controller's Office. The student is responsible for any and all fees assessed for collection once placed with an outside agency.

COLLECTION PRACTICES FOR ENROLLED STUDENTS

Students with an unpaid account balance are notified by the Controller's Office in several different communications. After classes begin, a fee statement is sent to all unpaid accounts. The student receives the quarterly statement until the debt is satisfied. A final collection letter is sent on all unpaid accounts. This collection letter notifies the debtor that the account is delinquent and may be forwarded to an outside collection agency if not paid within a

specified time period. If a timely response is not received to the final collection letter, the Controller's Office places an outside agency hold on the account and notifies the debtor that the account has been forwarded to the appropriate collection agency. A collection hold on the account indicates to other departments on campus that University services should be discontinued. The student is responsible for any and all fees assessed for collection once placed with an outside agency. The appropriate departments will withhold and /or reinstate services in accordance with the University of Louisiana System Policy FB-IV.(3), "Students with Debt Policy".

COLLECTION PRACTICES FOR NON-ENROLLED STUDENTS

1. All efforts will be exhausted to collect an account while the student is enrolled in the university. However, if a charge is posted to a student's account while not enrolled, the student will be sent notification that a charge has been placed on the account. This account will receive billing statements by the Student Accounts Receivable general billing process. A final notification will be sent to the student if the balance is not paid. If no response is received within a specified time period of the final collection letter, the Controller's Office places an outside agency hold on the account and notifies the debtor that the account has been forwarded to the appropriate collection agency. A collection hold on the account indicates to other departments on campus that University services should be discontinued. The student is responsible for any and all fees assessed for collection once placed with an outside agency. The appropriate departments will withhold and /or reinstate services in accordance with the University of Louisiana system Policy FB-IV.(3), "Students with Debt Policy".

OTHER ACCOUNTS RECEIVABLE

Other accounts receivable on the financial statement may include the following:

Employee Receivable

Employees may incur charges on their account for parking and traffic violations. Any outstanding parking fines on the account are withheld from the final paycheck of the fiscal year for all faculty and staff who have a valid parking pass. Other employee debt may include insurance for employees on Family Medical Leave and retirees, overpayments in pay, travel advances and P-Card reimbursements. These are due and payable to the University upon notification to the employee. A payment arrangement may be made available to the employee. If the employee fails to pay or does not enter into a valid payment arrangement, the debt may be withheld from future payments to the employee. The collection of these types of debts are managed in the appropriate department where the debt is incurred. When an account is deemed uncollectible, the Controller may authorize an Allowance for Doubtful Accounts to be established and the ensuing write off.

Grants and Contracts

Reimbursement-type grants and contracts are invoiced and monitored by Grants Accounting. Invoices are prepared monthly or quarterly depending on the terms of the grant or contract. Follow up for payment of invoices is performed at the time of the next billing cycle with a telephone call and inclusion of the prior balance with the current balance due. Accounts receivable for grants and contracts are booked on the general ledger. Accounts receivable for grants and contracts are considered 100% collectible. When an account is deemed uncollectible, the Controller may authorize an Allowance for Doubtful Accounts to be established and the ensuing write off.

Miscellaneous

Other miscellaneous receivables consist of a variety of billings that may include summer camps, outside contracts, and athletic contracts. These receivables are generally not posted to the general ledger unless a balance is still outstanding at year-end. In such cases, the department responsible for collecting the receivable will contact the Controller's Office to post an entry to the general ledger. These receivables are monitored periodically throughout the year. The collection of these types of debts are managed in the appropriate department where the debt is

incurred. When an account is deemed uncollectible, the Controller may authorize an Allowance for Doubtful Accounts to be established and the ensuing write off.

ALLOWANCE FOR DOUBTFUL ACCOUNTS

Southeastern recognizes an Allowance for Doubtful Accounts in the general ledger in accordance with Generally Accepted Accounting Principles. It is the policy of Southeastern to set up an allowance for any account that has had no activity over the last two years or is otherwise deemed uncollectible. It is the policy of Southeastern to write-off any account that has had no activity over the last three years or is otherwise deemed uncollectible. However, to write-off an account does not constitute a forgiveness of indebtedness. The amount written off is transferred to a dormant status and the amount is not reported as a receivable on the general ledger. Accounts placed with an outside collection agency are set up in the Allowance for Doubtful Accounts according to this policy and are written off when returned as uncollectible to Southeastern by the agency.

[End of Policy]